Capex resilient despite data-centre pullback

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By Pat Bustamante & Luka Belobrajdic

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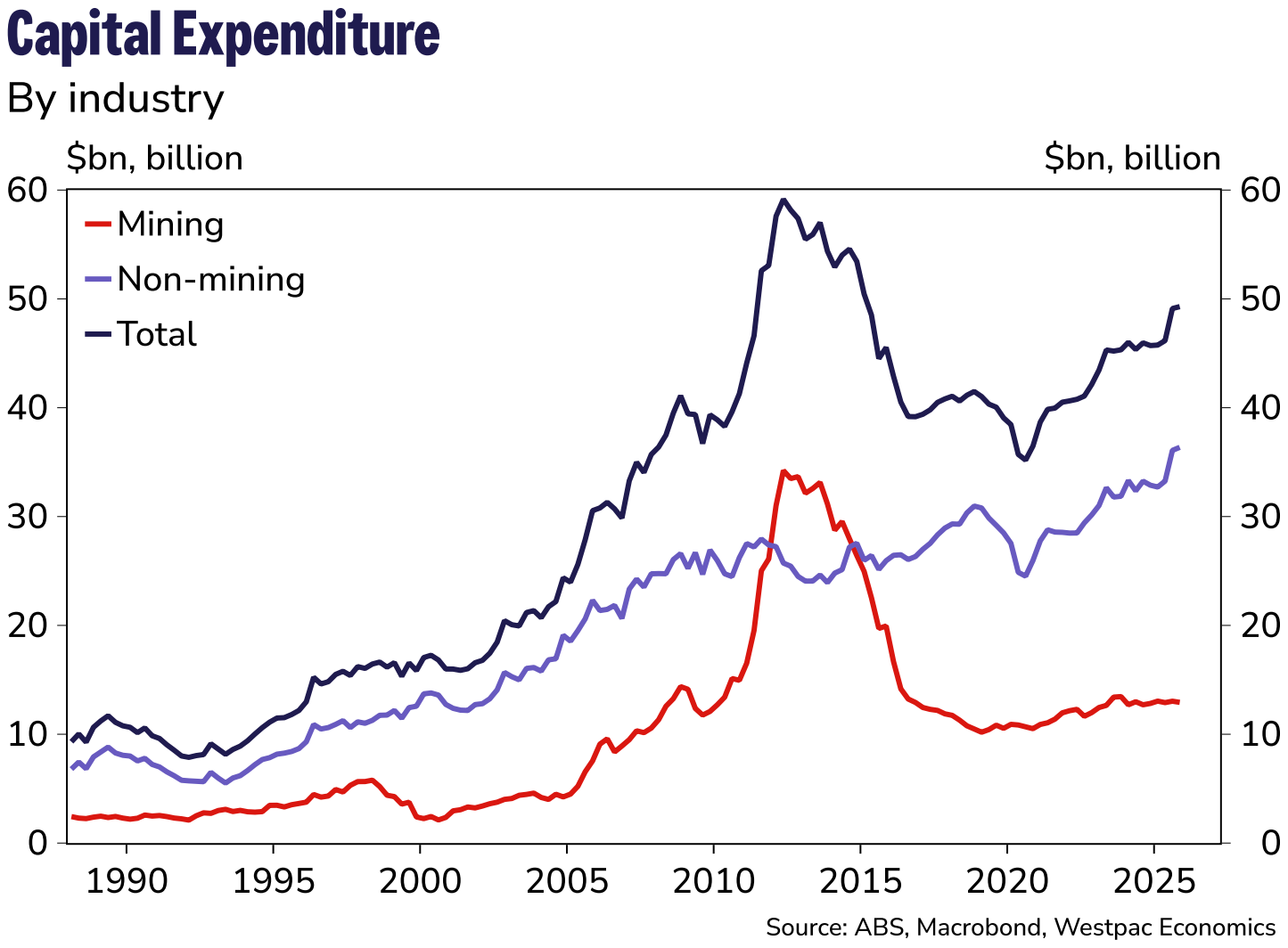
Private capex surprised on the upside, growing 0.4%qtr and 7.8%yr in the December quarter 2025. Investment in buildings and structures continued to provide broad based support, while the earlier strength in machinery and equipment attributed to information media and telecommunications unwound and was partly offset by a pickup elsewhere in the non-mining sector.

Private capex surprised on the upside, growing by 0.4%qtr and 7.8%yr in the December quarter 2025, the largest year-ended increase since the September quarter 2012 (excluding COVID). This outcome exceeded both Westpac Economics' expectation of a 0.5%qtr decline and the flat profile anticipated by market consensus.

The headline result masked a divergence across asset types. Investment in buildings and structures rose by 2.3%qtr, with gains broad-based across non-mining industries. In contrast, investment in machinery and equipment declined by 1.7%qtr, driven primarily by a sharp pullback in spending on data-centre related equipment. Accommodation and food services also recorded sizeable declines in this segment, while investment linked to the energy transition provided some offset. Indeed, excluding the impact of data-centre-related capex, non-mining investment in machinery and equipment increased a healthy 3.0% in Q4 2025.

Looking ahead, capex plans suggest that current investment levels are likely to be broadly sustained over the remaining two quarters of FY2026, pointing to an inflation-adjusted (or real) lift of around 7.1%yr (year-average terms). The first capex expectation for FY2027 also points to further growth, albeit at a more moderate pace.



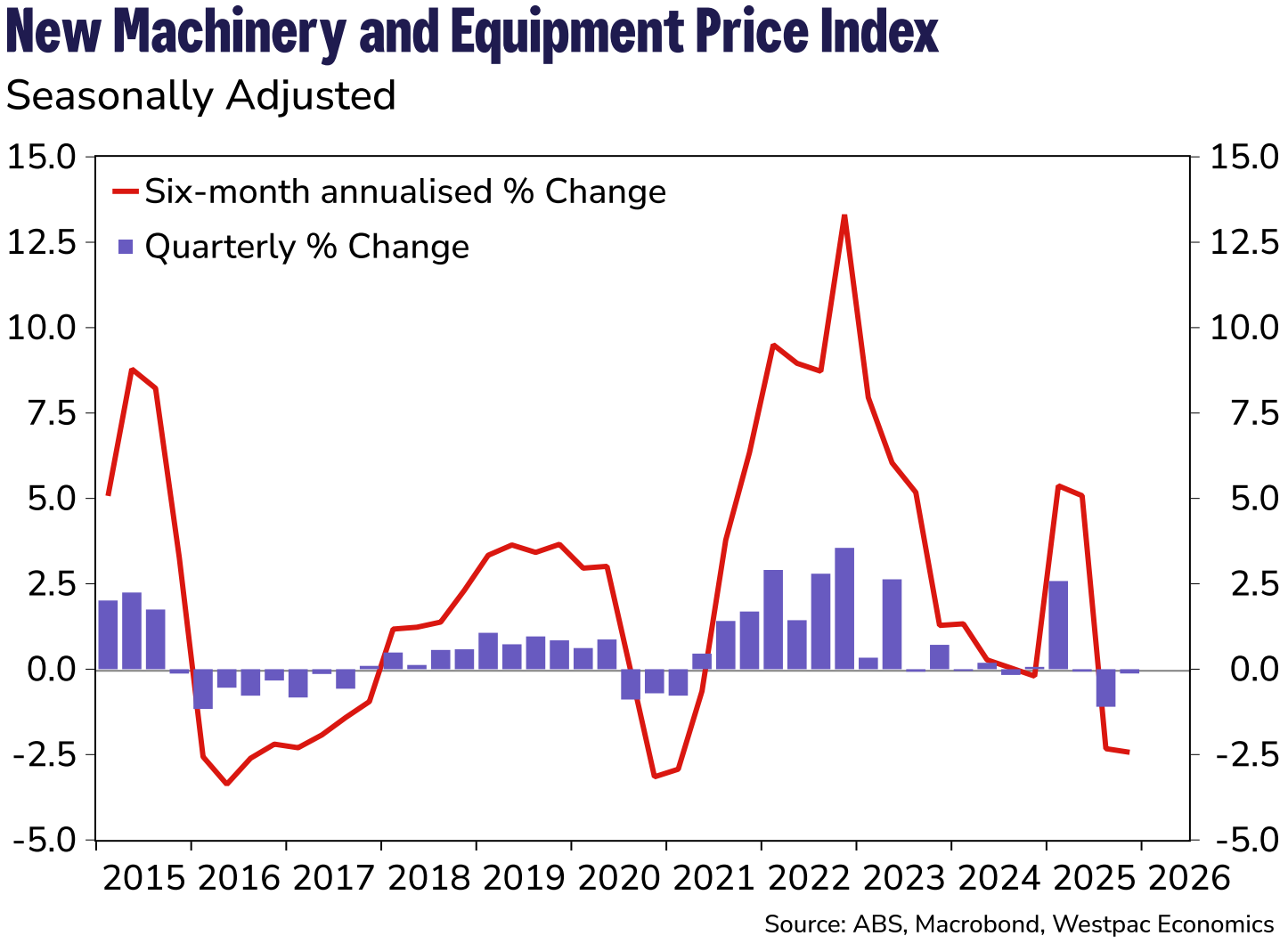
What does this mean for next week's National Accounts?

Today's capex numbers, coupled with yesterday's construction work done outcome, point to small

downside risks to our Q4 GDP nowcast (a full update will be released tomorrow). Despite this, partials to date are consistent with ongoing momentum in domestic demand through Q4, rather than a renewed slowdown.

What about inflationary pressures?

The machinery deflator has softened for a third consecutive quarter, falling by around 2.4% in six-month annualised terms. This likely reflects, in part, changing trade patterns and excess capacity in China, where producer prices have been in deflation for two years. This disinflationary impulse should help keep domestic inflationary pressures contained going forward, while also encouraging businesses to continue investing in their capital stock.



Industry detail

Mining capex struggled, declining by 0.8%qtr and erasing most of the gains of the September quarter. Buildings and structures fell by a milder 0.2%qtr, while machinery and equipment recorded a larger 2.3%qtr decline. This result was broadly anticipated consistent with the weaker quarter-ahead investment intentions reported in the September survey.

Non-mining capex rose 0.8%qtr to be 10.6% higher in year-ended terms – largest year-ended increase since Q4 2014 (outside of COVID). Strength was derived from buildings and structures which grew by 3.7%qtr, while machinery and equipment reversed course, falling by 1.7%qtr and acting as a drag on

the headline figure.

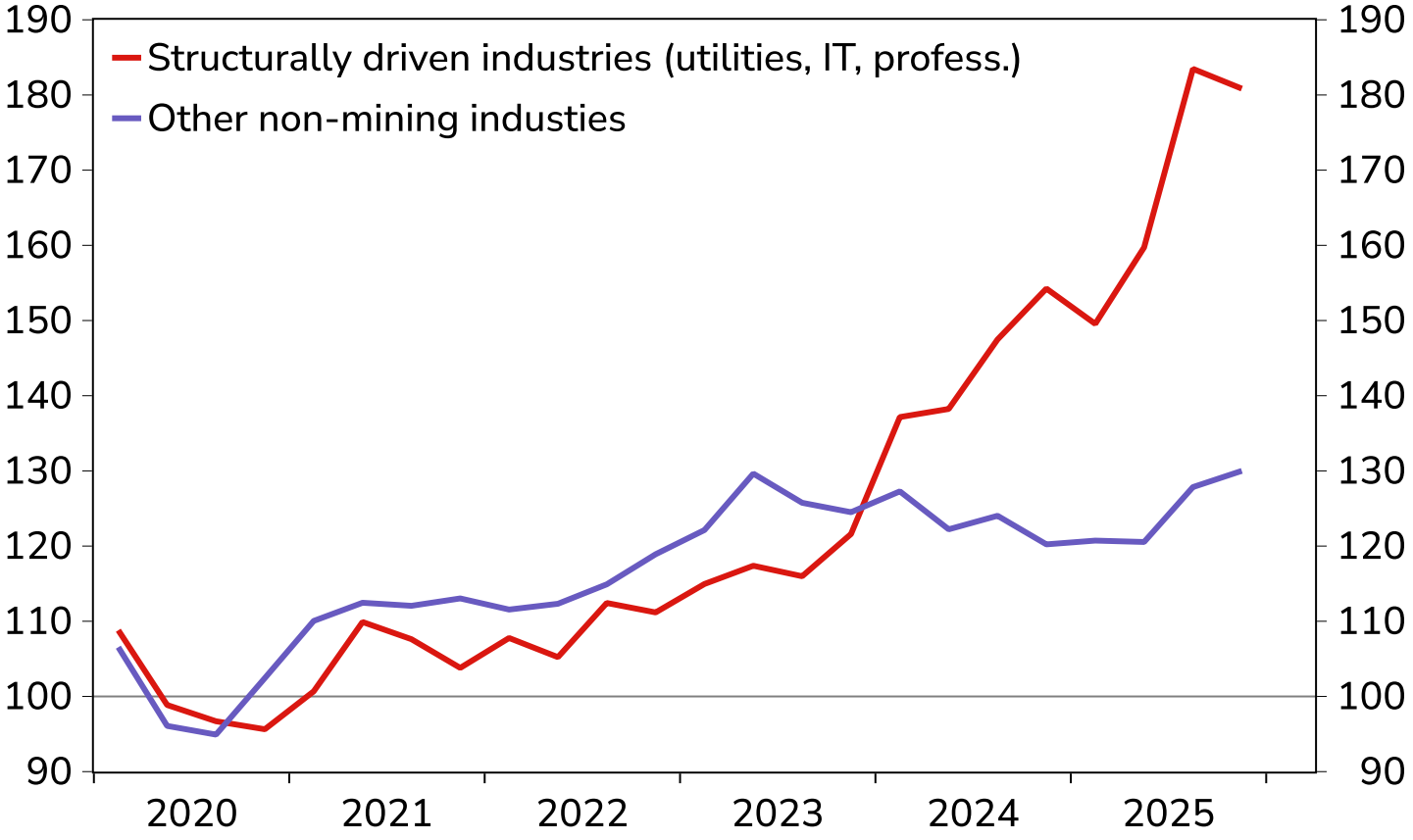
At the industry level, arts and recreation was a clear standout, with capex surging 23.4%qtr following a strong 10.1%qtr increase in September. Other services also performed well, reversing course from three consecutive quarters of decline to grow 17.6%qtr. Notably structural industries linked with the energy transition rebounded sharply this quarter - electricity, gas, water and waste rose 8.9%qtr, while professional, scientific and technical services grew by 14.1%qtr.

Despite quarter-to-quarter volatility, the recent trend remains clear: structurally driven industries have been the major source of capex growth, with investment in data centres/IT equipment and the energy transition driving recent gains.

Separately, we have been looking for evidence that firmer private domestic demand is supporting investment in more cyclically sensitive sectors. On this front, today's data provided more encouraging signals building on the September quarter results. Retail trade capex rose 4.3%qtr, while construction recorded a stronger 8.1%qtr increase, although the latter likely still reflects some structural support. While wholesale trade, accommodation and food services, and transport posted declines this quarter, these falls were insufficient to unwind the September quarter gains, and these industries remain elevated in year-ended terms.

CAPEX in different industries

Index 2020 = 100, Chain volume measures



Source: ABS, Macrobond, Westpac Economics

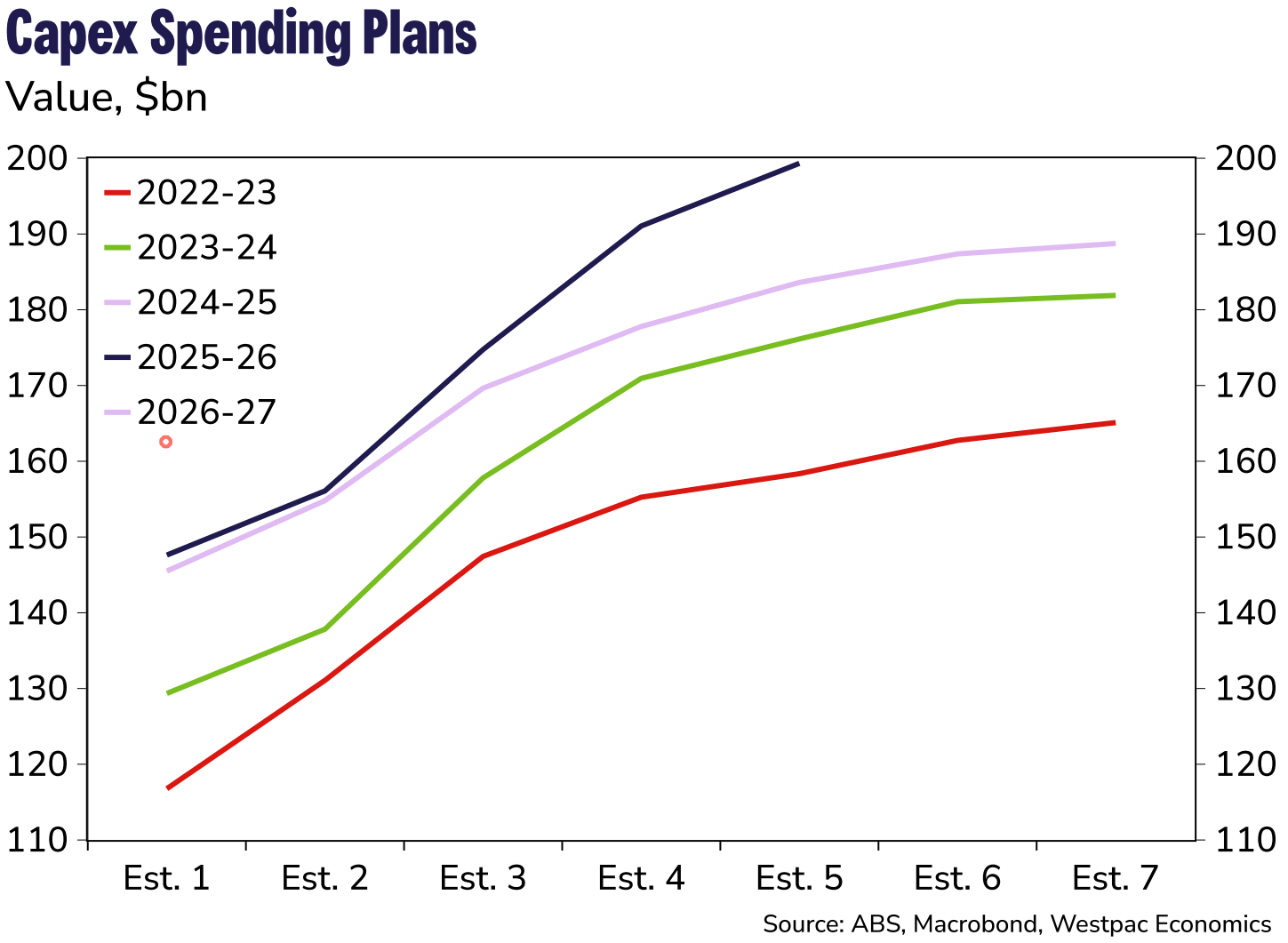
Capex spending plans

Alongside the capex data, the ABS also publishes businesses spending plans for this financial year, which allows us to assess how the capex spending is likely to evolve over the coming quarters. Usually, those plans tend to have a bias, with companies first estimates usually erring on the side of caution. Over time, business tend to revise their plans higher. We apply a methodology, that takes historical ratios of plans to actuals alongside business conditions which allows us to derive a more realistic capex estimate in the year ahead.

Unadjusted estimate 5 for the current financial year brought no surprises coming in at $199bn - matching our expectations. This estimate incorporates actual spending in the first two quarters of the financial year and represents an 8.6% increase on a year ago, as well as a 4.3% upward revision from Estimate 4. Given the historic evolution of these estimates, they imply FY2026 nominal capex spending of around $206bn, which would imply a sizeable 8.9%yr increase over the previous financial year.

Estimate 1 for FY2027 came in at $158bn, a 7.3% increase over the equivalent estimate a year ago. While below the double-digit expectations growth across FY2023-25, it marks a clear step-up from the 1.5% observed for FY2026, suggesting firms are expecting the firm investment growth momentum to be maintained beyond this financial year.

Price effects usually play an important role in the capex plans, as they are provided in nominal terms. The capex deflator has been signalling easing inflationary pressures after the pandemic, growing 2.1%yr this quarter – down from the double-digit growth rates recorded in 2022. We believe the deflator will soften throughout the remainder of the year, resulting in full year average growth of 1.7%yr. Alongside an 8.9%yr nominal growth implied by the capex plans, the deflator estimate implies 7.1%yr real capex growth, a minor upward revision from our previous expectation of 7.0%yr growth.



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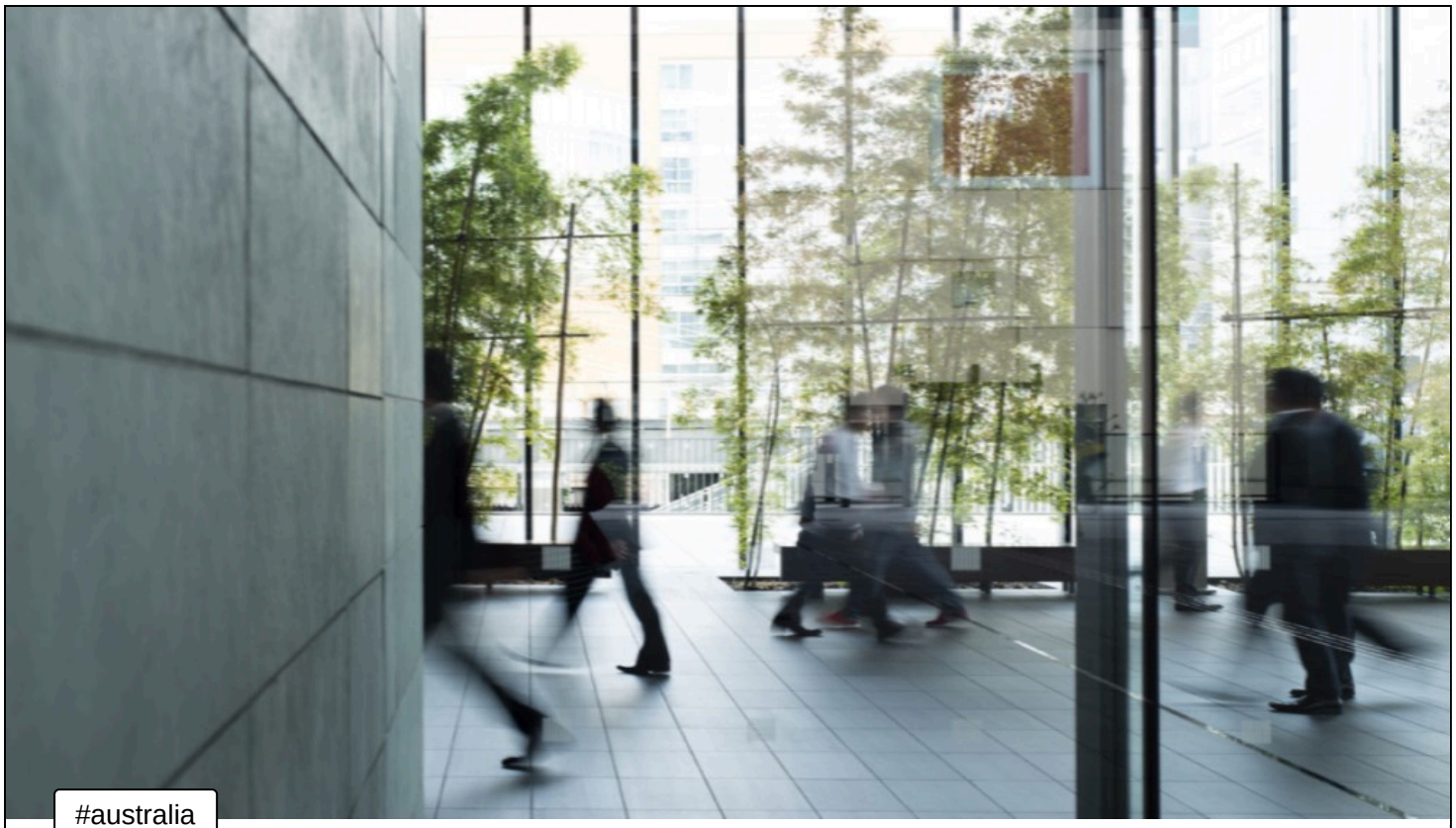

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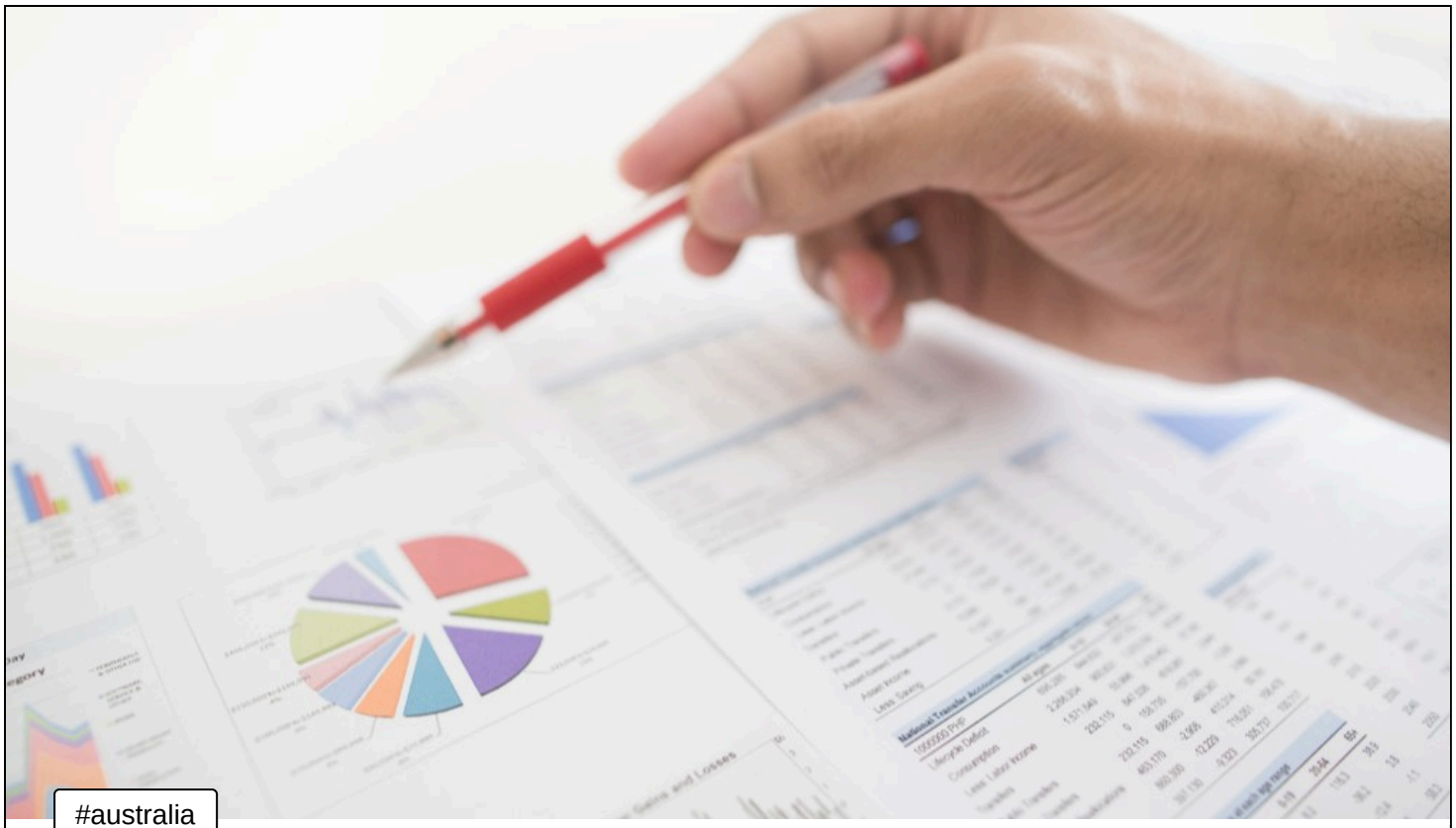

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